# IMPORTANCE OF EQUITY SECURITIES

Equity securities represent ownership claims on a company's net assets. As an asset class, equity plays a fundamental role in investment analysis and portfolio management because it represents a significant portion of many individual and institutional investment portfolios.

The study of equity securities is important for many reasons. First, the decision on how much of a client's portfolio to allocate to equities affects the risk and return characteristics of the entire portfolio. Second, different types of equity securities have different ownership claims on a company's net assets, which affect their risk and return characteristics in different ways. Finally, variations in the features of equity securities are reflected in their market prices, so it is important to understand the valuation implications of these features.

This reading provides an overview of equity securities and their different features and establishes the background required to analyze and value equity securities in a global context. It addresses the following questions:

- What distinguishes common shares from preference shares, and what purposes do these securities serve in financing a company's operations?
- What are convertible preference shares, and why are they often used to raise equity for unseasoned or highly risky companies?
- What are private equity securities, and how do they differ from public equity securities?
- What are depository receipts and their various types, and what is the rationale for investing in them?
- What are the risk factors involved in investing in equity securities?
- How do equity securities create company value?
- What is the relationship between a company's cost of equity, its return on equity, and investors' required rate of return?

The remainder of this reading is organized as follows. Section 2 provides an overview of global equity markets and their historical performance. Section 3 examines the different types and characteristics of equity securities, and Section 4 outlines the differences between public and private equity securities. Section 5 provides an overview of the various types of equity securities listed and traded in global markets. Section 6 discusses the risk and return characteristics of equity securities. Section 7 examines the role of equity securities in creating company value and the relationship between a company's cost of equity, its return on equity, and investors' required rate of return. The final section summarizes the reading.

## Equity Securities in Global Financial Markets

This section highlights the relative importance and performance of equity securities as an asset class. We examine the total market capitalization and trading volume of global equity markets and the prevalence of equity ownership across various geographic regions. We also examine historical returns on equities and compare them to the returns on government bonds and bills.

Exhibit 1 summarizes the contributions of selected countries and geographic regions to global gross domestic product (GDP) and global equity market capitalization. Analysts may examine the relationship between equity market capitalization and GDP as a rough indicator of whether the global equity market (or a specific country's or region's equity market) is under, over, or fairly valued, particularly compared to its long-run average.

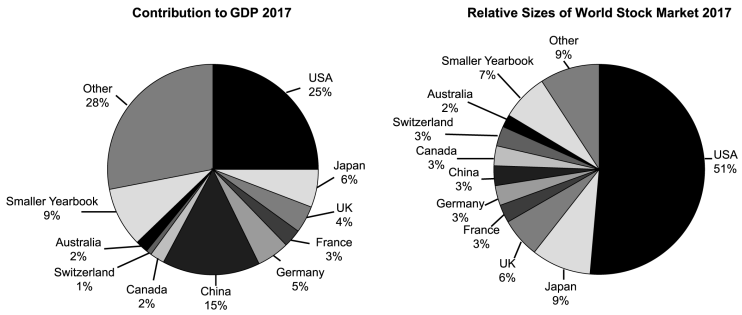
to their contribution to global GDP. That is, while US equity markets contribute around 51 percent to the total capitalization of global equity markets, their contribution to the global GDP is only around 25 percent. Following the stock market turmoil in 2008, however, the market capitalization to GDP ratio of the United States fell to 59 percent, which is significantly lower than its long-run average of 79 percent.

As equity markets outside the United States develop and become increasingly global, their total capitalization levels are expected to grow closer to their respective world GDP contributions. Therefore, it is important to understand and analyze equity securities from a global perspective.



### Exhibit 1:

### Country and Regional Contributions to Global GDP and Equity Market Capitalization (2017)

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*Source*: The WorldBank Databank *2017*, and **Dimson, Marsh, and Staunton (2018)**.

Exhibit 2 lists the top 10 equity markets at the end of 2017 based on total market capitalization (in billions of US dollars), trading volume, and the number of listed companies.[1] Note that the rankings differ based on the criteria used. For example, the top three markets based on total market capitalization are the NYSE Euronext (US), NASDAQ OMX, and the Japan Exchange Group; however, the top three markets based on total US dollar trading volume are the Nasdaq OMX, NYSE Euronext (US), and the Shenzhen Stock Exchange, respectively.[2]

### Exhibit 2:

### Equity Markets Ranked by Total Market Capitalization at the End of 2017 (Billions of US Dollars)

| Rank | Name of Market | Total US Dollar Market Capitalization | Total US Dollar Trading Volume | Number of Listed Companies |
|---|---|---|---|---|
| 1 | NYSE Euronext (US) | $22,081.4 | $16,140.1 | 2,286 |
| 2 | NASDAQ OMX | $10,039.4 | $33,407.1 | 2,949 |
| 3 | Japan Exchange Group[a] | $6,220.0 | $6,612.1 | 3,604 |
| 4 | Shanghai Stock Exchange | $5,084.4 | $7,589.3 | 1,396 |
| 5 | Euronext[b] | $4,393.0 | $1,981.6 | 1,255 |
| 6 | Hong Kong Exchanges | $4,350.5 | $1,958.8 | 2,118 |

| | | | | |
|---|---|---|---|---|
| 8 | National Stock Exchange of India | $2,351.5 | $1,013.3 | 1,897 |
| 9 | BSE Limited[c] | $2,331.6 | $183.0 | 5,616 |
| 10 | Deutsche Börse | $2,262.2 | $1,497.9 | 499 |

Notes:

[a] Japan Exchange Group is the merged entity containing the Tokyo Stock Exchange and Osaka Securities Exchange.

[b] From 2001, includes Netherlands, France, England, Belgium, and Portugal.

[c] Bombay Stock Exchange.

*Source*: Adapted from the *World Federation of Exchanges 2017 Report* (see http://www.world-exchanges.org). Note that market capitalization by company is calculated by multiplying its stock price by the number of shares outstanding. The market's overall capitalization is the aggregate of the market capitalizations of all companies traded on that market. The number of listed companies includes both domestic and foreign companies whose shares trade on these markets.

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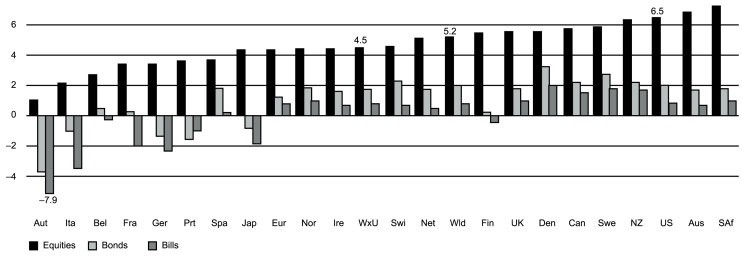
Exhibit 3 compares the *real* (or inflation-adjusted) compounded returns on government bonds, government bills, and equity securities in 21 countries plus the world index ("Wld"), the world ex-US ("WxU"), and Europe ("Eur") during the 118 years 1900–2017.[3] In real terms, government bonds and bills have essentially kept pace with the inflation rate, earning annualized real returns of less than 2 percent in most countries.[4] By comparison, real returns in equity markets have generally been around 3.5 percent per year in most markets—with a world average return of around 5.2 percent and a world average return excluding the United States just under 5 percent. During this period, South Africa and Australia were the best performing markets followed by the United States, New Zealand, and Sweden.

### Exhibit 3:

### Real Returns on Global Equity Securities, Bonds, and Bills During 1900–2017

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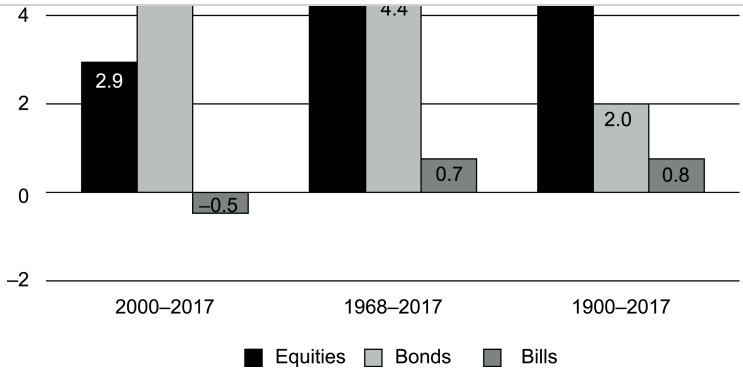
*Source*: **Dimson, Marsh, and Staunton (2018)**.

Exhibit 4 shows the annualized real returns on major asset classes for the world index over 1900–2017.

### Exhibit 4:

### Annualized Real Returns on Asset Classes for the World Index, 1900–2017

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*Source*: **Dimson, Marsh, and Staunton (2018)**.

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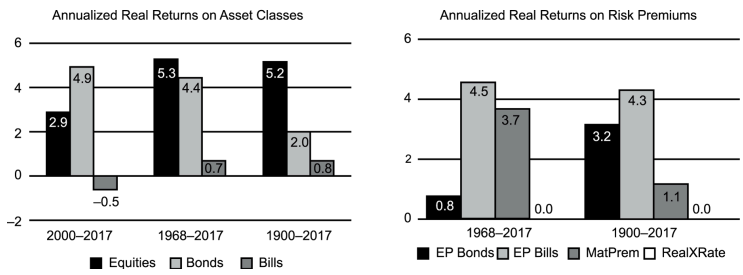
The volatility in asset market returns is further highlighted in Exhibit 5, which shows the annualized risk premia for equity relative to bonds (EP Bonds), and equity relative to treasury bills (EP Bills). Maturity premium for government bond returns relative to treasury bill returns (Mat Prem) is also shown.

These observations and historical data are consistent with the concept that the return on securities is directly related to risk level. That is, equity securities have higher risk levels when compared with government bonds and bills, they earn higher rates of return to compensate investors for these higher risk levels, and they also tend to be more volatile over time.

### Exhibit 5:

### Annualized Real Returns on Asset Classes and Risk Premiums for the World Index since 1900–2017

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*Notes*: Equities are total returns, including reinvested dividend income. Bonds are total return, including reinvested coupons, on long-term government bonds. Bills denotes the total return, including any income, from Treasury bills. All returns are adjusted for inflation and are expressed as geometric mean returns. EP bonds denotes the equity risk premium relative to long-term government bonds. EP Bills denotes the equity premium relative to Treasury bills. MatPrem denotes the maturity premium for government bond returns relative to bill returns. RealXRate denotes the real (inflation-adjusted) change in the exchange rate against the US dollar.

*Source*: **Dimson, Marsh, and Staunton (2018)**.

Given the high risk levels associated with equity securities, it is reasonable to expect that investors' tolerance for risk will tend to differ across equity markets. This is illustrated in Exhibit 6, which shows the results of a series of studies conducted by the Australian Securities Exchange on international differences in equity ownership. During the 2004–2014 period, equity ownership as a percentage of the population was lowest in South Korea (averaging 9.0 percent), followed by Germany (14.5 percent) and Sweden (17.7 percent). In contrast, Australia and New Zealand had the highest equity ownership as a percentage of the population (averaging more than 20 percent). In addition, there has been a relative decline in share ownership in several countries over recent years, which is not surprising given the recent overall uncertainty in global economies and the volatility in equity markets that this uncertainty has created.

2004–2014[5]

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| | 2004 | 2006 | 2008 | 2010 | 2012 | 2014 |
|---|---|---|---|---|---|---|
| Australia – Direct/Indirect | 55% | 46% | 41% | 43% | 38% | 36% |
| South Korea – Shares | 8 | 7 | 10 | 10 | 10 | N/A |
| Germany – Shares/Funds | 16 | 16 | 14 | 13 | 15 | 13 |
| Sweden – Shares | 22 | 20 | 18 | 17 | 15 | 14 |
| United Kingdom – Shares/Funds | 22 | 20 | 18 | N/A | 17 | N/A |
| New Zealand – Direct | 23 | 26 | N/A | 22 | 23 | 26 |

*Source*: Adapted from the *2014 Australian Share Ownership Study* conducted by the Australian Securities Exchange (see http://www.asx.com.au). For Australia and the United States, the data pertain to direct and indirect ownership in equity markets; for other countries, the data pertain to direct ownership in shares and share funds. Data not available in specific years are shown as "N/A."

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**Overview of Equity Securities**

An important implication from the above discussion is that equity securities represent a key asset class for global investors because of their unique return and risk characteristics. We next examine the various types of equity securities traded on global markets and their salient characteristics.

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EJ Its hard for me to understand the current benefits of sections like these given the data being used is 8 years old now. Some core ideas in these sections like "the higher level of risk for higher level of return" have already been discussed in portfolio management so updated charts with more relevant data seems ideal?

Created 4 months ago by Edgardo Jose Jove

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